
❖ Horizon Asset Management, Inc. ❖

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Monthly Commentary

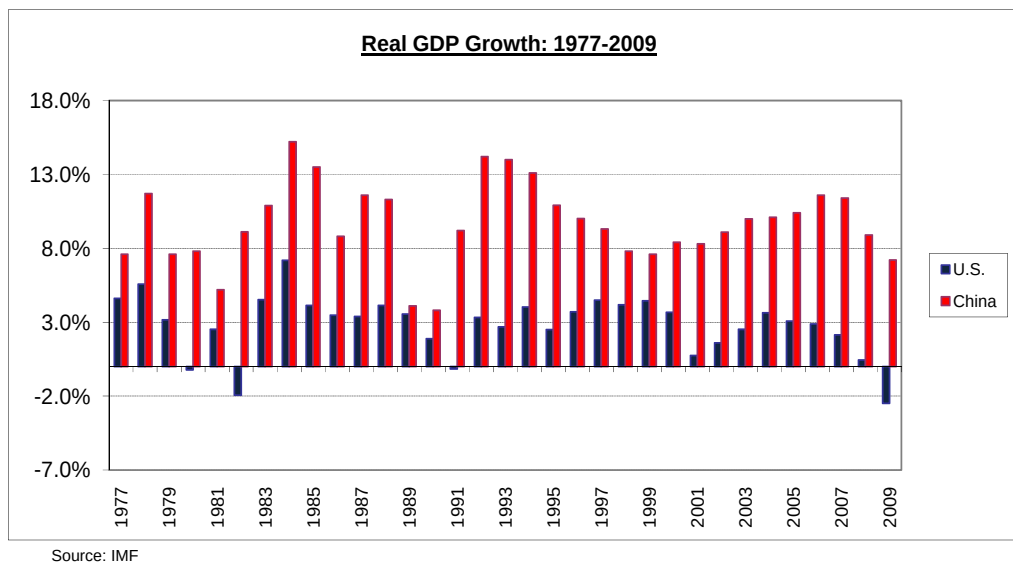
More Thoughts on China

Last month, our commentary, “Is China in a Bubble?” highlighted how language could be misused by the media to mischaracterize China. Having received, in turn, much responsive commentary, we felt that it would be constructive to comment on our approach to investing in China and the Asia region.

Why China, Part 2 (Part 1 to follow)

Before explaining *how* we invest in China, we should first provide some information, since discussion without the appropriate data is merely an assertion of prejudice. We will thereafter discuss the “why”. First, to state the obvious: China is a large and rapidly growing country. It has the third largest economy in the world and one of the highest growth rates among all nations. Indeed, it was one of the few that managed to expand its economy in the 2008/2009 period when others, such as the United States and Europe were mired in the worst recession since the Great Depression.

Since 1977, the year marking China's transition to a market-based economy, real GDP has increased by approximately 9.7% per year. This is a rather astonishing figure, when one considers that the United States experienced a growth rate of 2.8% per year, or less than one-third China's rate, over the same period. At this rate, its economy will soon eclipse Japan's, elevating it to the world's largest economy behind the United States. This transformation from an emerging market to a leading economic power has given rise to extraordinary investment opportunities.



However, there are pessimists, even alarmists, who assert that China's growth rate is unsustainable. To this, let us note that despite the impressive expansion to date, China still lags the developed world in various measures of economic development. For example, China's GDP per capita is still only \$3,565. This is less than 1/11th that of the U.S., Japan and Germany. In China, electricity consumption (a measure that is highly correlated to GDP per capita and, we believe, a better measure of economic development) is growing five times faster than in the U.S., yet per capita consumption is

still 1/6th the level achieved in the States. Assuming that China wishes to approach the living standards of the developed world, it must continue to grow at a high rate. Should it merely achieve the level of per capita GDP enjoyed by Italy, it would require a tenfold increase in its economic output. To assert that its economy should only expand at the same rate as the U.S., roughly 2%-3% per annum, would be to say that China will never close the gap in living standards. Does this seem plausible?

Currency

Another factor important to investors is the well-known undervaluation of China's currency, the renminbi (or yuan). Historically, the U.S. dollar-renminbi exchange rate has been managed by the Chinese government within a narrow range. At the moment, one U.S. dollar is equivalent to roughly 6.8 yuan. There has been much controversy over China's currency policy - it is accused of holding the rate artificially low to support its export economy at the expense of its trading partners. There is pressure by members of Congress on the U.S. Treasury to label China as a currency manipulator, in hopes of compelling the Chinese government to allow the renminbi to float. Although the Chinese government is reluctant to alter its policy at the moment, it is apparent that this circumstance cannot persist indefinitely, and at some point the exchange rate will need to be adjusted.

How much is the renminbi undervalued? Studies on purchasing power parity ("PPP") suggest that the currency may be as much as 50% undervalued¹. Thus, if it were allowed to float, one might expect returns of up to 100% from the currency exposure alone. For a U.S. investor holding Chinese securities, a rise in the value of the renminbi would provide positive returns, even if the local share price were to remain unchanged. Apropos, we believe that we have an interesting approach to the currency issue, which will be described in further detail in a later section.

The Economist Big Mac Index:
Purchasing Power Parity & Currency Valuation

December 31, 2009	Value (USD)	Under/Over Value
Hong Kong	1.72	-52%
China	1.83	-49%
Thailand	2.11	-47%
Russia	2.34	-43%
South Africa	2.46	-39%
Mexico	2.50	-33%
South Korea	2.98	-27%
Singapore	3.19	-19%
Argentina	3.02	-15%
Canada	3.97	-6%
Australia	3.98	-6%
Japan	3.50	-3%
United States	3.58	0%
United Kingdom	3.67	3%
Brazil	4.02	13%
Euro Area	4.84	29%
Sweden	4.93	38%
Denmark	5.53	55%
Switzerland	6.30	68%

Source: Bloomberg

¹ Purchasing Power Parity is the amount of adjustment needed on the exchange rate between countries in order for the exchange to be equivalent to each country's purchasing power. The Economist magazine publishes the Big Mac Purchasing Power Parity Index. The index utilizes the McDonald's Big Mac hamburger, produced in about 120 countries, as a reference point to equalize exchange rates for under- and over-valuation. It presumes that the currency exchange rate between two countries should adjust until the price of a set basket of goods and services (in this case, the Big Mac) is the same.

Index Weight

It is perhaps not well-known that China is improperly represented in world equity indexes. For example, the Morgan Stanley Capital International EAFE (Europe, Australasia and Far East) Index, which is the most widely-used benchmark for international investment managers, index funds and ETFs, has a zero allocation to China. In principle, this is rather unusual, since the object of the index is to replicate world financial performance outside of the U.S. It is difficult to imagine how this is to be accomplished if China, given the size of its economy, is excluded.

This is not to say that China is missing from all indexed investments. For example, State Street Global Advisors, a prominent developer of various exchange-traded funds, has created an ETF that tracks the MSCI All Country World Index. This ETF does have an allocation to China, but it only represents a mere 3.3% weight, which is the ninth-largest country allocation. The largest allocation is to Japan, which has a 15.5% weight. The question then is: is China's representation the proper weight in the index? The answer appears to be a resounding "no." If the criteria were based on nominal GDP, China's weight would be 10.6%, or roughly three times its current level. If the criteria were instead PPP-adjusted GDP, its weight would be 17.0%, which would place it highest. Regardless of the specific criteria, it seems readily apparent that China is under-represented in equity indexes (if represented at all).

Top 20 Country Weights: SPDR MSCI All Country World Index ex-US ETF (as of 1/31/10)

In Billions	% of Index	Nominal GDP, 2008 USD	% of Index Nominal GDP, 2008	PPP Adjusted GDP, 2008 International Dollars	% of Index PPP Adjusted GDP, 2008
Japan	15.5%	4,909,272	12.0%	4,354,550	9.3%
United Kingdom	15.4%	2,645,593	6.5%	2,176,263	4.7%
France	7.3%	2,853,062	7.0%	2,112,426	4.5%
Canada	7.0%	1,400,091	3.4%	1,213,991	2.6%
Australia	6.2%	1,015,217	2.5%	762,559	1.6%
Switzerland	5.6%	488,470	1.2%	324,576	0.7%
Germany	5.4%	3,652,824	8.9%	2,925,220	6.3%
Spain	3.5%	1,604,174	3.9%	1,456,103	3.1%
China	3.3%	4,326,187	10.6%	7,903,235	17.0%
Brazil	3.1%	1,612,539	3.9%	1,976,632	4.2%
South Korea	3.0%	929,121	2.3%	1,358,037	2.9%
Italy	2.5%	2,293,008	5.6%	1,840,902	4.0%
Netherlands	2.2%	860,336	2.1%	671,693	1.4%
Hong Kong	2.2%	215,355	0.5%	306,487	0.7%
Taiwan	2.0%	391,351	1.0%	711,418	1.5%
Sweden	2.0%	480,021	1.2%	344,712	0.7%
India	1.8%	1,217,490	3.0%	3,388,473	7.3%
South Africa	1.4%	276,764	0.7%	492,155	1.1%
Russia	1.3%	1,607,816	3.9%	2,288,446	4.9%
Singapore	1.3%	181,948	0.4%	238,503	0.5%

Source: State Street Global Advisors, World Bank

In practice, there is a logical reason for underweighting China: at present, there are simply an insufficient number of Chinese companies and tradable equity market value to comprise an index weight as large as Japan or the United Kingdom. However, the problem is solvable. As the market capitalization of existing Chinese companies increases, and as new initial public offerings enlarge the pool of public companies, the impediments currently in place should eventually disappear.

Consequently, we believe it is only a matter of time that China will ultimately be included in indexes at the appropriate weights. If this were to occur, one could imagine the impact on the Chinese securities prices, irrespective of the underlying economic backdrop. However, one wishes to be invested in these companies as they expand toward the critical mass necessary for index inclusion, not await that future event.

Why China, Part 1: An Extraordinary Statement

Finally, our interest in China is influenced by the following statement: our Chinese investments are not a diversification measure. In fact, we believe that one cannot diversify a portfolio with China.

Why is this so? Academic literature discusses systematic risk as that which can't be controlled by diversification. For example, a rise in interest rates reduces the value of every financial asset. This is a risk that exists whether one holds five, ten or 100 securities in a portfolio. China, being a major part of the systematic risk complexion of the world economy, is very much like that. As a result, one could decide to never buy a Chinese stock, but the portfolio would still be influenced by China. Stated more starkly, one is already, effectively, invested in/exposed to the risk of China.

How is this possible? There are several ways. For one, the rise in global trade exposes one to the Chinese mercantile influence. American companies sell and purchase goods directly to and from China, outsource manufacturing to China, and make use of Chinese labor. On the one hand, U.S. companies, such as Ford Motor Company, Coach Inc., and Cisco Systems, recognize the importance of China as an end market for their products. On the other hand, companies such as Wal-Mart depend upon China to manufacture a significant amount of its goods for sale in its retail stores. In this sense, it's just not possible to diversify away from the web of connections.

More importantly, China's influence on one's economy, the interest rates one pays, or the prices of commodities in the marketplace is not well appreciated at all. For example, is it not plausible that if the people of China were one day to achieve the living standards of the U.S., the volume of the world's natural resources they would need to acquire would increase enormously, which would lead to higher commodity prices? If so, would that not be inflationary, and if it were inflationary, would that not change the interest rate environment in the United States? In fact, the mere rumor that China is selling U.S. Treasuries can cause interest rates to fluctuate.

So, the more thoughtful one is about it, the more one can see that practically everything that happens in regard to China - good, bad, or indifferent - will influence one's portfolio whether one makes a direct investment in China or not. In this way, regardless of your investment portfolio posture and whether you know it or not, you are already exposed to the risk of China. That being the case, shouldn't one make a conscious effort to explicitly manage Chinese investment risks, rather than by default?

Horizon's Investment Process

Although China's rapid growth is indeed conducive to investment returns, security selection is still critical to successful long-term performance. Horizon's investment process pertaining to China is the same as that followed in our other strategies:

conducting bottom-up fundamental research that emphasizes undervalued companies having certain characteristics, such as high and sustainable returns on invested capital, high barriers to entry, long product cycles and a high margin of safety. Above all, it utilizes the concept of the equity yield curve, which reflects the low value that most investors place on outcomes that will not be realized in the standard near-term investment horizon, such that longer-term earnings and values can be acquired at deeply discounted prices.

However, in conjunction with our core investment methodology, we also look for specific attributes within our Chinese investments that we believe aid our chances of success. These are:

1. Companies with revenues derived predominantly from the local economy. We prefer to invest in those companies exposed principally to China's domestic economy, rather than businesses that are export-oriented. The objectives are two-fold. First, since the principal reason is to capitalize on China's growth, logic would dictate investing in a company that would be a direct beneficiary. Exporters, by virtue of their sales overseas, offer limited or even no such exposure - a Chinese company deriving its revenues from overseas sales is Chinese in name only, its financial results being dependent upon foreign customers. Second, by focusing on domestic-oriented companies, we gain an undiluted exposure to China's undervalued currency, since commerce is transacted in the local currency. When one purchases a company that conducts its business in the Chinese currency, one thereby owns a renminbi earnings stream. Examples of these types of businesses include: life insurance companies, airports, tolls roads, ports, banks, and financial exchanges.
2. If possible, Horizon seeks to invest in companies that have the Chinese government as a significant shareholder. Despite the more than 30-year transition to a market-based economy, China's experience in capitalism is a recent phenomenon and is still evolving. The Communist party still rules, and it maintains significant influence over business decisions. Consequently, the Government remains heavily involved in commerce through its ownership stake in various companies that are important to the development of the nation. For example, the Chinese government maintains ownership interests in the Industrial and Commercial Bank of China, which is the country's the largest bank (the government also has significant ownership in its peers, the Bank of China, Agricultural Bank of China, and China Construction Bank). It also has a major interest in CNOOC, the largest offshore-oriented oil company, and in China Life Insurance, the largest insurance company in the country.

In its desire to ensure the success of strategically important companies, the Government can confer significant advantages upon these firms. For example, unlike the U.S., where legislation is being proposed to limit the size of financial institutions, China Life Insurance, the nation's largest life insurance company, enjoys a market share of about 40%. Its market share exceeds those of the five

largest life insurance companies in the U.S. combined. That simply could not happen in the U.S.

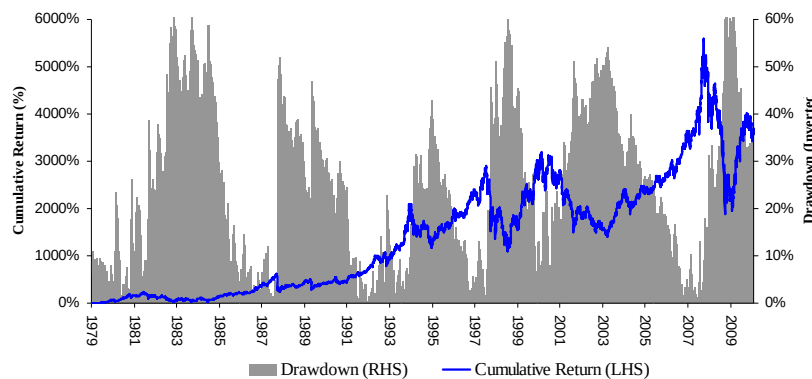
China National Offshore Oil Inc. (CNOOC), the largest producer of oil and natural gas in the offshore areas of China, has been given the ability to allow foreign companies to explore for oil within the areas under its jurisdiction in exchange for a no-cost option to participate in a working interest of up to 51% of the project in the case of a successful discovery. Such arrangements enable the company to participate in the benefits, have very little risk, and do not require much in the way of capital expenditures. This can only serve to expand CNOOC's margins and cash earnings.

Therefore, if the Government has a vested interest in the success of companies such as China Life and CNOOC, would it not be sensible to be invested alongside?

Risks

Despite the efforts to minimize our investment risk, one should realize that investments in China can be subject to significant short-term volatility. Thus, in order to be successful, patience and commitment to a long-term view are required. One must be prepared for the occasional drop in share prices, which can be sharp at times. Over the past three decades, there have been six such episodes on the Hang Seng Index, with an average drawdown of approximately 56% and lasting anywhere from two months to three years. To restate, the last 30 years have witnessed a half-dozen stock market episodes of the magnitude that traumatized U.S. investors in 2008/2009. Is it not remarkable, then, that this period has nevertheless been highly remunerative, with an annualized rate of return of 11.5% in the thirty years ending December 2009, as compared to the S&P 500's return of 8.1%. Despite the economic expansion of the past decade, the Hang Seng Index is essentially unchanged from its level of 10 years ago.

Short-Term Volatility: Hang Seng Index



Historic Drawdown		
<u>Start Date</u>	<u>End Date</u>	<u>Drawdown %</u>
Jul-81	Dec-82	-62.64
Oct-87	Dec-87	-52.02
Jan-94	Jan-95	-42.44
Aug-97	Aug-98	-60.05
Mar-00	Apr-03	-54.05
Oct-07	Oct-08	-65.18

Source: Bloomberg

Conclusion

To illustrate the vast investment opportunities available to us, let us conclude with the following: imagine, if you will, that the inhabitants of two of the world's superpowers, Russia and Japan, one day decide to abandon their homeland for the cities of China. Such an undertaking would involve the migration of roughly 290 million people, which is a truly astounding figure.

It may come as a surprise that in the relatively short 17-year period between 1990 and 2007, China's urban population has indeed increased by such an amount. In fact, the number of people who have moved out of the rural areas, and are subsequently living within China's cities approaches 600 million, or almost *twice* the population of the United States, and the trend has not abated.

Therefore, one can envision the implications for, say, a property developer or for housing prices. Can one now gain a better understanding of the issue of rising real estate prices in China, or whether it is truly experiencing a bubble? In these cities, should not electric usage increase, and if so, would this not be positive for electric utilities serving these areas? As the middle class continues to expand and disposable incomes increase, would there not be a rising demand for such services as life insurance, air/train services, or mobile phones? As trade continues to burgeon, wouldn't business be brisk for China's port operators, one of the natural types of business monopoly?

The growth in China's influence requires all investors to understand the effects it has on the world economy and its impact on all investment portfolios. We believe the thoughtful investor can best capitalize on these trends by explicitly allocating a portion of one's diversified investment portfolio to carefully selected, domestically-oriented, Chinese securities.

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